UNION BUDGET 2025-26

EDUCATION

Putting AI on the Syllabus



Artificial Intelligence-driven learning tools are reshaping global education. Research also suggests that early exposure to robotics and AI boosts problem-solving skills. Accordingly, Budget 2025 laid the groundwork for a shift in India's education and skilling landscape. Among its significant decisions was the creation of Centres of Excellence for AI in education, with an outlay of Rs 500 crore. This reflects the government's commitment to fostering adaptive learning, automation and AI-driven research. Equally crucial is the expansion of 50,000 Atal Tinkering Labs to encourage young minds to explore robotics, AI and machine learning. The budget also earmarks Rs 20,000 crore for private sector-led research and development. The creation of five National Centres of Excellence for Skilling, alongside programmes in hospitality and global capability centres, is intended to equip people with skills aligned to evolving economic demands.

A CORPUS FOR EDUCATION

- The budget allocation for school education in 2025-26 has risen from **₹73,008 crore** in the previous budget to **₹78,572 crore**, an increase of 8 per cent
- The allocation for higher education has increased from **₹47,620 crore** in the last budget to **₹50,078 crore,** marking a 5 per cent rise
- Funding for the Samagra Shiksha scheme, the flagship initiative for school education, has been raised from **₹37,500 crore** to **₹41,250 crore**

Skilling programmes in Tier 2 cities can decentralise job creation, positioning smaller towns as talent and investment hubs

THE BENEFITS

The centres of excellence are a crucial first step toward India developing its own AI-powered learning platforms. By scaling up access to the Atal Tinkering Labs, the government is ensuring that more students engage in experiential learning. Less than five per cent of Indian workers are formally skilled. The national centres address this. By having programmes in Tier 2 cities, the government is decentralising job creation and positioning smaller cities as talent and investment hubs. ■

DEFENCE

EQUIPPING FOR NEXT-GEN WARFARE



Following global trends in planning for conflicts as well as battlefield realities, Budget 2025 reinforced India's commitment to modernisation, with a strong focus on Artificial Intelligence-driven warfare, cybersecurity and next-generation surveillance. Defence modernisation, therefore, has been allocated Rs 1.8 lakh crore. A significant portion of this—Rs 1.48 lakh crore—is directed towards AI-driven defence systems as well as acquiring advanced platforms. There are meaty portions allocated for R&D and infrastructure development—Rs 26,816 crore is for the DRDO and Rs 7,146 crore for the Border Roads Organisation. This ties in neatly with the Rs 1.12 lakh crore reserved for domestic procurement, ensuring that Indian de-

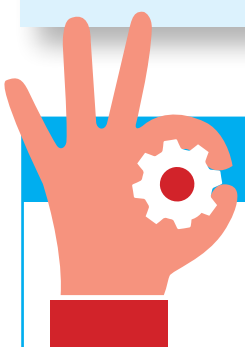
The budget underscores a shift towards strategic coordination across military branches

SMART ASPIRATION

Total allocation for defence

₹6.21 lakh crore 2024-25	₹6.81 lakh crore 2025-26

- **₹1.80 lakh crore** set aside for capital expenditure
- Of this, **₹1.48 lakh crore** is meant for aircraft, AI-driven defence, etc
- **₹1.12 lakh crore** allocated for procurement from domestic industry
- **₹26,816 crore** allocated to DRDO



MSMEs

REVIVING SMALL BIZ

Recognising the 57 million-strong micro, small and medium enterprises (MSMEs) sector as the second growth engine after agriculture, the budget introduced measures to address the persistent credit gap in the sector. To encourage lenders and ease credit access, the credit guarantee for collateral-free loans has been doubled from Rs 5 crore to Rs 10 crore for micro and small enterprises (MSEs). This is part of the Credit Guarantee Fund